CANON MEXICANA, S. DE R.L. DE C.V.

TITULO: **TRIALS SETTLEMENT APPROVAL PROCESS**					
REF: LEGAL/001	INICIO VIGENCIA			VERSION	PAGINA 1 DE 5
	DIA	MES	AÑO		
	01	06	17	**2 .0**	

Scope

To establish the approval procedure when settlement are proposed in trials started by the company or against the company.

General guidelines.

1.- Company has established a Credit Committee integrated by Accounting, Credit and Collection, Sales, Sales Administration and Legal Departments to have a proper risk management for new credit lines and a quick reaction in case of delinquency.

This Credit Committee is responsible to overview all customers' accounts for both ITCG and BISG business units.

2.- In case of payment delay of three months, Credit & collection Department will deliver to Legal department the due documents to prepare the suit against de creditor.

3.- Legal Department will make monthly reports of the trails status when new trials filed.

4.- In case of trials started by the Company, Legal department will be responsible to conduct proper actions to get payments in favor of the company according to its best interests and collecting as much as possible.

Under concrete circumstances and when there is a risk of collection, Company can accept a trial settlement.

Legal department will fill out the formal "Legal Collection. Special Negotiation" and will get Finance Director and Credit and Collection approval to accept the decreased payment.

This format will include original debt terms and conditions and debtor offerings.

ELABORADO POR	REVISADO POR:	AUTORIZADO POR:
CAROLINA MEJIA ADMIN. SR. DIRECTOR FECHA: 02/06/2017	TOMOKI MIYAZAKI FINANCE & ACCOUNTING DIRECTOR FECHA: 02/06/2017	MASAHARU CHOKI PRESIDENT & CEO FECHA: 02/06/2017

5.- In case of trials started against the Company, Legal department will be responsible to conduct proper actions to avoid any payment against the company according to its best interests.

Under concrete circumstances and when can't be avoided, Company can accept a trial settlement.

Legal department will fill out the formal "Legal Payments. Special Negotiation" and will get Finance Director, Business Unit Sr. Director and President approval to accept the payment.

This format will include reasons of payment as well as terms and conditions of the payment.

Exhibits.

A) "Legal Collection. Special Negotiation".

B) "Legal Payments. Special Negotiation".